ANSWER KEY & MARKING SCHEME SET 1

Chapter 19: **Money and Credit (Economics)** | Class 10 Social Science | Maximum Marks: 40

SECTION — A (Objective Type) — Answers — 10 × 1 = 10

Q.	Correct Option	Brief Reasoning
1	**(a)** borrowing becomes costlier and may fall	Cost of credit rises
2	**(a)** Both A and R are true and R is the correct explanation of A.	Provides credit without collateral
3	**(c)** A is true but R is false.	A true; R false
4	**(b)** Both A and R are true but R is not the correct explanation of A.	Both true; supervision does not by itself explain lower rates
5	**(c)** (i) and (ii) only	Collateral is an asset
6	**(d)** A is false but R is true.	A false; R true
7	**(a)** increase formal credit for the poor	Closer access
8	**(d)** A is false but R is true.	A false; R true
9	**(a)** Both A and R are true and R is the correct explanation of A.	As an intermediate step in exchange, money removes the need to find someone who wants exactly what you offer; R explains A.
10	**(b)** Both A and R are true but R is not the correct explanation of A.	Both are true, but supervising loans does not explain why only the RBI issues currency.

SECTION — B (Very Short Answer) — Answers — 4 × 2 = 8

Q.	Expected Answer / Value Points	Marks
11	The interest rates are very high (1); There is pressure from the lender to repay (1).	1+1
12	Informal group of members (1); Lend from their own savings (1).	1+1
13	Banks earn income from the interest on loans (1); Deposits are used productively to help others earn (1).	1+1
14	The cost of borrowing becomes high (1); Their profit falls and they may be unable to repay (1).	1+1

SECTION — C (Short Answer) — Answers — 4 × 3 = 12

Q.	Expected Answer / Value Points	Marks
15	Group pressure and trust (1); Own savings are at stake (1); Future loans depend on repayment (1).	1+1+1
16	There are few bank branches in villages (1); The documents are difficult to arrange (1); The poor lack collateral (1).	1+1+1
17	They can buy raw materials (1); They can pay wages (1); They can expand their units (1).	1+1+1
	OR: They charge reasonable interest (1); They do not need collateral (1); Members support each other (1).	1+1+1
18	Interest rates are lower (1); The RBI supervises it (1); There is less risk for the borrower (1).	1+1+1
	OR: Collateral is a guarantee against default (1); The poor have few assets (1); They are therefore denied formal credit (1).	1+1+1

SECTION — D (Long Answer) — Answers — 2 × 5 = 10

Q.	Expected Answer / Value Points	Marks
19	(i) Double coincidence of wants (1). (ii) The Reserve Bank of India (1). (iii) A paper instructing the bank to pay a specific amount from a person's account to the person named on it (1). (iv) They can be withdrawn on demand and used to make payments by cheque without cash, so they work as a medium of exchange along with currency (2).	1+1+1+2
20	They pool savings (1); They lend without collateral (1); They charge reasonable interest (1); They involve women (1); They spread social awareness (1).	1+1+1+1+1
	OR: Formal credit has lower interest (1); It is supervised by the RBI (1); Informal credit is costly (1); Poor households depend heavily on it (1); So formal credit should be expanded (1).	1+1+1+1+1

Mistakes to avoid:

- Saying that the **Government of India** or any bank can issue currency notes; in India only the **Reserve Bank of India** issues them on behalf of the central government.
- Thinking that a cheque is money; a cheque is only a **paper instruction** to the bank, and the **demand deposit** is the money.

- Confusing **collateral** (borrower's asset kept as security) with **interest** (price paid for the loan) and forgetting that **terms of credit** include interest, collateral, documentation and repayment mode.
- Placing **cooperatives** among informal lenders; formal = banks and cooperatives; informal = moneylenders, traders, employers, relatives and friends.
- Writing that banks lend at the same rate they pay on deposits; they charge a **higher** rate on loans, and the difference is their main source of income.
- Believing credit always helps: it helps Salim, but pushes Swapna into a **debt trap** when her crop fails; the outcome depends on the risk and on support in case of loss.

Evaluator's note: Award step marks as shown; accept any correct alternative method. In internal-choice questions, evaluate only the option attempted. Deduct up to ½ mark for missing units or figures where required.

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ANSWER KEY & MARKING SCHEME SET 2

Chapter 19: **Money and Credit (Economics)** | Class 10 Social Science | Maximum Marks: 40

SECTION — A (Objective Type) — Answers — 10 × 1 = 10

Q.	Correct Option	Brief Reasoning
1	**(d)** Rs 6,000	50,000 x 12/100
2	**(a)** Both A and R are true and R is the correct explanation of A.	Increased income
3	**(c)** a debt trap	He lost assets due to debt
4	**(a)** 1-C, 2-D, 3-A, 4-B	Definitions
5	**(b)** the bank loan	Lower interest means lower cost
6	**(d)** all three	All are correct
7	**(b)** people could refuse it in payment	Acceptance would become uncertain
8	**(d)** very high interest rates	The others are advantages
9	**(a)** Both A and R are true and R is the correct explanation of A.	Because they can be used as a medium of payment through cheques, demand deposits share the features of money; R explains A.
10	**(d)** A is false but R is true.	A is false. R is true: banks hold only about 5 per cent as cash and lend the rest.

SECTION — B (Very Short Answer) — Answers — 4 × 2 = 8

Q.	Expected Answer / Value Points	Marks
11	They lack collateral and documents (1); Banks may be far away (1).	1+1
12	Through banks and cooperatives (1); Through Self-Help Groups (1).	1+1
13	They need working capital for raw materials and wages (1); They need money to expand production (1).	1+1
14	Everyone must accept it (1); Smooth transactions (1).	1+1

SECTION — C (Short Answer) — Answers — 4 × 3 = 12

Q.	Expected Answer / Value Points	Marks
15	Money is a medium of exchange (1); Credit is a loan (1); Credit may be in money or goods (1).	1+1+1
16	The business may fail to earn enough (1); The interest burden may be heavy (1); The collateral may be lost (1).	1+1+1
17	Banks use deposits to lend (1); Interest from loans pays depositors (1); Profit remains (1).	1+1+1
	OR: The borrower pays very high interest (1); The borrower may lose land or other assets (1); The borrower becomes dependent on the lender (1).	1+1+1
18	They have to pay high interest to moneylenders (1); They may fall into a debt trap (1); They can invest less in their work (1).	1+1+1
	OR: Moneylender: 40,000 x 15/100 = Rs 6,000 (1); Bank: 40,000 x 7/100 = Rs 2,800 (1); The difference is Rs 3,200 (1).	1+1+1

SECTION — D (Long Answer) — Answers — 2 × 5 = 10

Q.	Expected Answer / Value Points	Marks
19	(i) The papers of the new house (1). (ii) Any two: interest rate, collateral and documentation, mode of repayment (1). (iii) 12 per cent of Rs 5,00,000 = Rs 60,000 (1). (iv) The bank has the right to sell the collateral (the house) to recover its loan (2).	1+1+1+2
20	A productive loan raises income (1); Failure of a crop makes repayment difficult (1); This can lead to a debt trap (1); The borrower may lose the collateral (1); Hence affordable credit is needed (1).	1+1+1+1+1
	OR: Savings in SHGs create funds for loans (1); Credit supports production (1); It reduces dependence on moneylenders (1); It increases income (1); It improves the quality of life (1).	1+1+1+1+1

Mistakes to avoid:

- Saying that the **Government of India** or any bank can issue currency notes; in India only the **Reserve Bank of India** issues them on behalf of the central government.
- Thinking that a cheque is money; a cheque is only a **paper instruction** to the bank, and the **demand deposit** is the money.

- Confusing **collateral** (borrower's asset kept as security) with **interest** (price paid for the loan) and forgetting that **terms of credit** include interest, collateral, documentation and repayment mode.
- Placing **cooperatives** among informal lenders; formal = banks and cooperatives; informal = moneylenders, traders, employers, relatives and friends.
- Writing that banks lend at the same rate they pay on deposits; they charge a **higher** rate on loans, and the difference is their main source of income.
- Believing credit always helps: it helps Salim, but pushes Swapna into a **debt trap** when her crop fails; the outcome depends on the risk and on support in case of loss.

Evaluator's note: Award step marks as shown; accept any correct alternative method. In internal-choice questions, evaluate only the option attempted. Deduct up to ½ mark for missing units or figures where required.

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ANSWER KEY & MARKING SCHEME SET 3

Chapter 19: **Money and Credit (Economics)** | Class 10 Social Science | Maximum Marks: 40

SECTION — A (Objective Type) — Answers — 10 × 1 = 10

Q.	Correct Option	Brief Reasoning
1	**(d)** Rs 17 crore	85 per cent of 20 crore
2	**(c)** It supervises banks and issues notes	It acts for the central government
3	**(a)** Both A and R are true and R is the correct explanation of A.	Matching wants is hard
4	**(a)** Both A and R are true and R is the correct explanation of A.	Reaches the poor
5	**(c)** A is true but R is false.	A is false because no agency supervises informal lenders; R is true
6	**(a)** Both A and R are true and R is the correct explanation of A.	Lender can sell it on default
7	**(d)** a bank loan at low interest	Formal credit
8	**(a)** Both A and R are true and R is the correct explanation of A.	Legal authority gives acceptance
9	**(c)** A is true but R is false.	A is true. R is false: collateral is an asset that the borrower owns and offers as a guarantee to the lender.
10	**(b)** Both A and R are true but R is not the correct explanation of A.	Both are true, but R describes one arrangement and does not explain A.

SECTION — B (Very Short Answer) — Answers — 4 × 2 = 8

Q.	Expected Answer / Value Points	Marks
11	Large payments are risky with cash (1); Cheques and deposits are safer (1).	1+1
12	Can sell it on default (1); Ensures repayment (1).	1+1
13	Savings create the fund from which loans are given (1); They build the habit of thrift (1).	1+1
14	Ensures safety of deposits (1); Prevents mismanagement (1).	1+1

SECTION — C (Short Answer) — Answers — 4 × 3 = 12

Q.	Expected Answer / Value Points	Marks
15	High deposit rate encourages saving (1); High loan rate discourages borrowing (1); Banks earn the margin (1).	1+1+1
16	Credit is another way to earn interest (1); It helps them to sell goods or keep workers (1); It brings them profit (1).	1+1+1
17	Repayment depends on income (1); Unproductive loans cause debt (1); Productive loans raise income (1).	1+1+1
	OR: Provides funds for inputs (1); Allows expansion (1); Raises income if successful (1).	1+1+1
18	To support development (1); Not only profit-making businesses (1); To reduce dependence on moneylenders (1).	1+1+1
	OR: Cheques are payment orders (1); Acceptance depends on trust (1); Currency notes have legal backing (1).	1+1+1

SECTION — D (Long Answer) — Answers — 2 × 5 = 10

Q.	Expected Answer / Value Points	Marks
19	(i) An informal source (employer or landowner) (1). (ii) The Reserve Bank of India (1). (iii) 15 to 20 (1). (iv) Informal lenders charge a much higher interest rate and nobody supervises them, so a large part of the borrower's earnings goes to repay the loan, which can cause a debt trap (2).	1+1+1+2
20	Currency is paper notes and coins (1); Demand deposits are bank deposits withdrawable on demand (1); Cheques are used to make payments from deposits (1); The rupee is legal tender (1); Together they make exchange easy (1).	1+1+1+1+1
	OR: Informal credit is costly (1); The poor lack access to banks (1); Formal credit is supervised (1); It reduces debt (1); It boosts production (1).	1+1+1+1+1

Mistakes to avoid:

- Saying that the **Government of India** or any bank can issue currency notes; in India only the **Reserve Bank of India** issues them on behalf of the central government.
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